

against it; the drawback here has been the drying up of such opportunities during most of the past decade.

What about other bases of choice? In writing this book we have made a series of “experiments,” each based on a single, fairly obvious criterion. The data used would be readily found in the Standard & Poor’s *Stock Guide*. In all cases a 30-stock portfolio was assumed to have been acquired at the 1968 closing prices and then revalued at June 30, 1971. The separate criteria applied were the following, as applied to otherwise random choices: (1) A low multiplier of recent earnings (not confined to DJIA issues). (2) A high dividend return. (3) A very long dividend record. (4) A very large enterprise, as measured by number of outstanding shares. (5) A strong financial position. (6) A low price in dollars per share. (7) A low price in relation to the previous high price. (8) A high quality-ranking by Standard & Poor’s.

It will be noted that the *Stock Guide* has at least one column relating to each of the above criteria. This indicates the publisher’s belief that each is of importance in analyzing and choosing common stocks. (As we pointed out above, we should like to see another figure added: the net-asset-value per share.)

The most important fact that emerges from our various tests relates to the performance of stocks bought at random. We have tested this performance for three 30-stock portfolios, each made up of issues found on the first line of the December 31, 1968, *Stock Guide* and also found in the issue for August 31, 1971. Between these two dates the S & P composite was practically unchanged, and the DJIA lost about 5%. But our 90 randomly chosen issues declined an average of 22%, not counting 19 issues that were dropped from the *Guide* and probably showed larger losses. These comparative results undoubtedly reflect the tendency of smaller issues of inferior quality to be relatively overvalued in bull markets, and not only to suffer more serious declines than the stronger issues in the ensuing price collapse, but also to delay their full recovery—in many cases indefinitely. The moral for the intelligent investor is, of course, to avoid second-quality issues in making up a portfolio, unless—for the enterprising investor—they are demonstrable bargains.

Other results gleaned from our portfolio studies may be summarized as follows: